growing up as a practitioner of randomness, that most poetic sounding adages are plain wrong. Borrowed wisdom can be vicious. I need to make a huge effort not to be swayed by well-sounding remarks. I remind myself of Einstein's remark that common sense is nothing but a collection of misconceptions acquired by age 18. Furthermore: *what sounds intelligent in a conversation or a meeting, or, particularly in the media, is suspicious.*

Any reading of the history of science would show that almost all the smart things that have been proven by science appeared like lunacies at the time they were first discovered. Try to explain to a *London Times* journalist in 1905 that time slows down when one travels (even the Nobel committee never granted Einstein the prize on account of his insight on special relativity). Or to someone with no exposure to physics that there are places in our universe where time does not exist. Try to explain to Kenny that, although his star trader had made him a lot of money, I have enough arguments to convince him that he is a dangerous idiot.

RISK MANAGERS

Corporations and financial institutions have recently created the strange position of risk manager, someone who is supposed to monitor the institution and verify that it is not too deeply involved in the business of playing Russian roulette. Clearly, having been burned a few times, the incentive is there to have someone take a look at the generator, the roulette that produces the profits and losses. Although it is more fun to trade, many extremely smart people among my friends (including Jean-Patrice) felt attracted by such positions. It is an important and attractive fact that the average risk manager earns more than the average trader (particularly when we take into account the number of traders thrown out of the business). But their job feels strange, for the following reason: as we said, the generator of reality is not observable. They are limited in their power to stop profitable traders from taking risks, given that they would, *ex post* be accused by the George Wills around of costing the shareholder some precious opportunity shekels. On the other hand, the occurrence of a blowup would cause them to be responsible for it. What to do in such circumstances?

Their focus becomes to play politics, cover themselves by issuing vaguely phrased internal memoranda that warn against risk-taking activities yet stop short of completely condemning it, lest they lose their job. Like a doctor torn between the two types of errors, the false positive (telling the patient he has cancer when in fact he does not) and the false negative (telling the patient he is healthy when in fact he has cancer), they need to balance their existence with the fact that they inherently need some margin of error in their business. For my part, I resolved the problem long ago by being both the risk manager and the boss at my current operation.

I conclude the chapter with a presentation of the central paradox of my career in financial randomness. By definition, I go against the grain, so it should come as no surprise that my style and methods are neither popular nor easy to understand. But I manage money for others, and the world is not just populated with babbling but ultimately inconsequential journalists with no money to invest. So my wish is for investors in general to remain fools of randomness (so I can trade against them), yet that there remain a minority intelligent enough to value my methods and supply me with capital. I was fortunate to meet Donald Sussman who corresponds to such ideal investor; he helped me in the second stage of my career by backing the startup of Empirica, my trading firm, thus freeing me from the ills of Wall Street employment. My greatest risk is to become successful, as it would mean that my business is about to disappear; strange business, ours.